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UPDATE

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Fuyao Glass Industry Group | Asia Pacific

3Q26 Preview: Volume Still Weak, but Earnings May Grow

Key Takeaways

- We expect Fuyao's 3Q performance to broadly mirror 2Q's trend, with ASP growth offsetting volume declines.
- China's auto production fell 6% YoY in 3Q, vs. -3% YoY in 2Q. Aftermarket glass destocking remained a drag in 3Q, although with a milder YoY decline.
- We expect Fuyao's revenue to grow in single digit s both YoY and QoQ in 3Q.
- Fuyao's GPM should stay resilient YoY in 3Q – better mix is expected to offset lower utilization. Management targets 38% GPM for 2H26.
- We expect Fuyao's YoY earnings growth to turn positive in 3Q, thanks to a narrower FX loss. It booked Rmb120mn in FX losses in 3Q25, vs Rmb602mn gain in 1H25.

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Fuyao Glass Industry Group (3606.HK, 3606 HK)

China Autos & Shared Mobility | China

Stock Rating	**Equal-weight**
Industry View	**In-Line**
Price target	HK$53.50
Up/downside to price target (%)	(4)
Shr price, close (Oct 12, 2026)	HK$55.60
52-Week Range	HK$77.35-47.70
Sh out, dil, curr (mn)	607
Mkt cap, curr (mn)	Rmb138,614.3
EV, curr (mn)	Rmb132,335.6
Avg daily trading value (mn)	HK$156

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	3.57	3.51	4.43	5.17
Prior EPS (Rmb)**	-	-	-	-
EPS (Rmb)§	3.66	3.71	4.43	5.09
Revenue, net (Rmb mn)	45,787.4	47,896.2	55,256.1	63,153.3
EBITDA (Rmb mn)	13,164.4	14,191.9	16,805.2	19,186.1
ModelWare net inc (Rmb mn)	9,312.3	9,157.7	11,559.5	13,491.7
P/E	16.9	13.5	10.7	9.2
P/BV	4.2	3.0	2.7	2.4
RNOA (%)	25.3	26.1	29.2	31.6
ROE (%)	26.1	24.4	28.0	29.3
EV/EBITDA	12.2	9.2	7.7	6.6
Div yld (%)	3.5	4.3	5.5	6.4
FCF yld ratio (%)**	5.1	5.3	7.1	8.7
Leverage (EOP) (%)	(21.2)	(22.2)	(24.2)	(27.2)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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AlphaSignals Earnings Preview

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
Fuyao Glass Industry Group 3606.HK		
3Q26 core operating profit from auto glass	— In-line	— Largely unchanged

- (-) Auto OE (i.e., new cars) glass volume dragged by weak auto production.
- (-) Auto AM (aftermarket) glass volume continued to decline due to inventory destocking at a major customer.
- (+) Auto glass ASP continued to grow.
- (+) Gross margin remained resilient YoY.

*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Fuyao Glass Industry Group (3606.HK)

Base case, with HK$1.12/RMB FX rate assumed for A-share base case price target plus five-year average valuation discount of 15% given different investor profiles. Our A-share PT is derived from DCF valuation; key assumptions include a 13% WACC (15.3% cost of equity and 6.3% cost of debt), an 8% medium-term growth rate, and a 3% terminal growth rate.

Risks to Upside

- Higher-than-expected China auto sales growth
- Acceleration in US/EU market share gains
- End to geopolitical tensions

Risks to Downside

- Larger-than-expected slowdown in China auto sales
- Delay in its US plant ramp-up
- Increase in energy/materials costs

Fuyao Glass Industry Group (600660.SS)

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(as of September 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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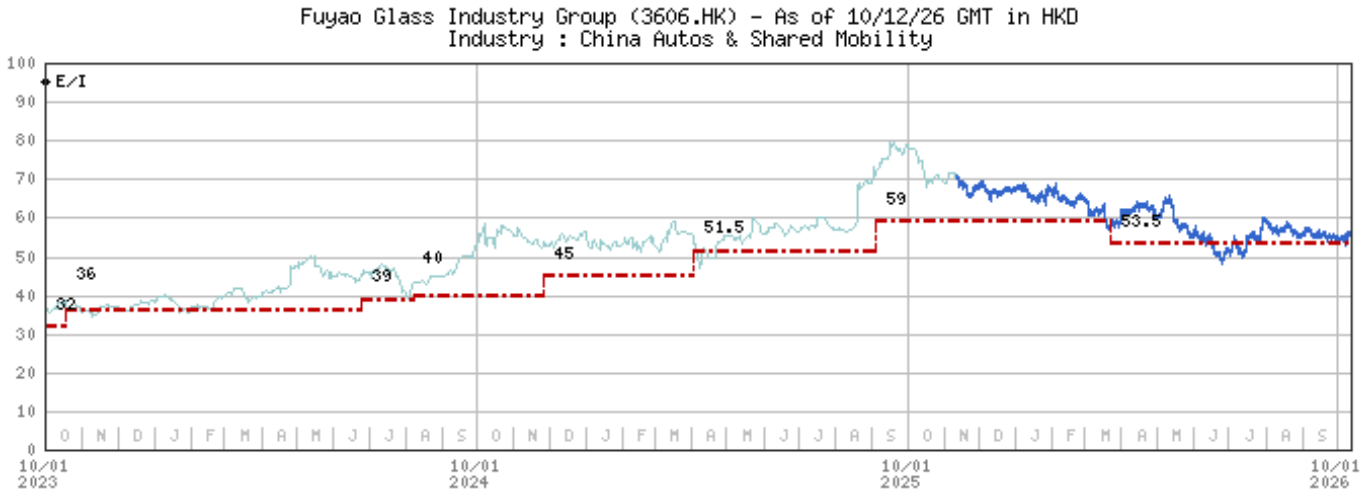
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

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Stock Price, Price Target and Rating History (See Rating Definitions)



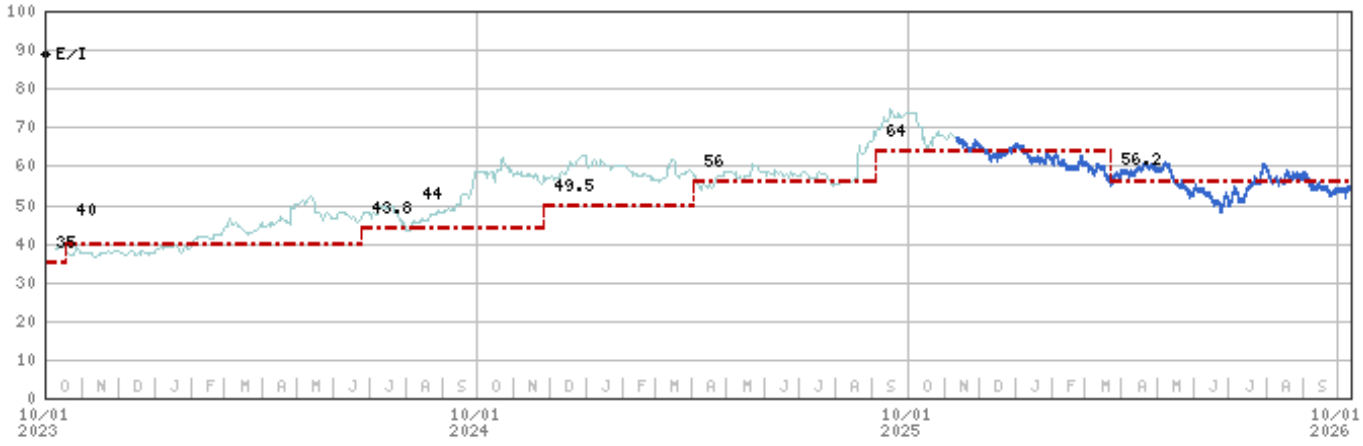
Stock Rating History: 10/1/21 : E/A; 8/25/22 : E/I

Price Target History: 1/15/21 : 46; 3/21/22 : 31; 8/25/22 : 32; 10/18/23 : 36; 6/25/24 : 39; 8/8/24 : 40; 11/27/24 : 45; 4/3/25 : 51.5; 9/4/25 : 59; 3/23/26 : 53.5

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -·- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ▬
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Price Target History: 1/15/21 : 52; 3/21/22 : 34; 8/25/22 : 35; 10/18/23 : 40; 6/25/24 : 43.8; 8/8/24 : 44; 11/27/24 : 49.5; 4/3/25 : 56; 9/4/25 : 64; 3/23/26 : 56.2

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Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ▬
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INDUSTRY COVERAGE: China Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/12/2026)
Joey Xu, CFA		
Anhui Jianghuai Automobile (600418.SS)	E (08/19/2023)	Rmb22.05
BAIC Motor (1958.HK)	E (10/02/2025)	HK$0.70
Brilliance China Automotive (1114.HK)	E (03/31/2025)	HK$1.82
Chongqing Changan Automobile (000625.SZ)	E (03/03/2026)	Rmb7.10
Guangzhou Automobile Group (601238.SS)	U (10/23/2019)	Rmb5.17
Guangzhou Automobile Group (2238.HK)	O (05/05/2020)	HK$2.20
Huayu Automotive (600741.SS)	O (09/08/2020)	Rmb15.61
Jiangsu Changshu Automotive Trim Group (603035.SS)	U (09/01/2026)	Rmb10.48
Ningbo Huaxiang Electronic Co., Ltd. (002048.SZ)	E (05/05/2026)	Rmb17.33
SAIC Motor Corp. Ltd. (600104.SS)	O (11/25/2021)	Rmb10.88
Voyah Automotive Technology Co. Ltd, (7489.HK)	O (03/31/2026)	HK$1.76
Zhengzhou Yutong Bus Co (600066.SS)	E (09/22/2023)	Rmb28.08
Shelley Wang, CFA		
Beijing Jingwei Hirain Technologies (688326.SS)	U (09/27/2024)	Rmb55.48
Bethel Automotive Safety Systems Co Ltd (603596.SS)	O (12/11/2023)	Rmb26.78
Changzhou Xingyu Automotive Lighting Sys (601799.SS)	O (09/27/2024)	Rmb70.01
China MeiDong Auto Holdings Ltd (1268.HK)	U (07/10/2026)	HK$0.37
China Yongda Automobiles Services (3669.HK)	U (07/10/2026)	HK$0.77
Foryou Corporation (002906.SZ)	O (03/06/2024)	Rmb25.54
Fuyao Glass Industry Group (600660.SS)	E (12/01/2016)	Rmb54.82
Fuyao Glass Industry Group (3606.HK)	E (12/01/2016)	HK$55.60
Hesai Group (HSAI.O)	O (07/28/2025)	US$16.01
Huizhou Desay SV Automotive Co Ltd (002920.SZ)	O (02/28/2025)	Rmb78.60
Keboda (603786.SS)	O (01/17/2024)	Rmb37.53
Minth Group Limited (0425.HK)	O (08/24/2015)	HK$22.64
NavInfo Co Ltd (002405.SZ)	U (03/06/2024)	Rmb6.12
Nexteer Automotive Group (1316.HK)	E (02/28/2025)	HK$4.37
Ningbo Joyson Electronic Corp (600699.SS)	E (03/11/2026)	Rmb20.85
Ningbo Tuopu Group Co Ltd (601689.SS)	E (11/12/2025)	Rmb41.61
Ningbo Xusheng Group Co Ltd (603305.SS)	E (06/18/2025)	Rmb10.76
RoboSense Technology Co Ltd (2498.HK)	O (10/12/2026)	HK$16.12
Suzhou Recodeal Interconnect System (688800.SS)	O (07/02/2026)	Rmb49.74
TUHU Car Inc (9690.HK)	O (07/29/2024)	HK$11.32
Zhejiang Sanhua Intelligent Controls (002050.SZ)	E (11/12/2025)	Rmb32.83
Zhongsheng Group Holdings (0881.HK)	E (07/10/2026)	HK$2.35
Tim Hsiao		
BAIC BluePark New Energy (600733.SS)	U (08/07/2024)	Rmb4.72
BYD Company Limited (002594.SZ)	O (04/14/2025)	Rmb84.60
BYD Company Limited (1211.HK)	O (04/14/2025)	HK$74.35
EHang Holdings Ltd (EH.O)	E (09/15/2026)	US$4.19
Geely Automobile Holdings (0175.HK)	O (06/26/2024)	HK$15.11
Great Wall Motor Company Limited (601633.SS)	U (03/16/2022)	Rmb14.22
Great Wall Motor Company Limited (2333.HK)	E (01/08/2024)	HK$7.17
Horizon Robotics (9660.HK)	O (12/02/2024)	HK$4.00
Li Auto Inc. (LI.O)	O (08/24/2020)	US$11.54
Li Auto Inc. (2015.HK)	O (11/16/2021)	HK$44.90
NIO Inc. (9866.HK)	O (10/03/2022)	HK$27.14
NIO Inc. (NIO.N)	O (08/26/2020)	US$3.58
WeRide Inc (WRD.O)	O (11/19/2024)	US$4.81
XPeng Inc. (9868.HK)	O (11/16/2021)	HK$38.48
XPeng Inc. (XPEV.N)	O (01/29/2021)	US$9.90

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* Historical prices are not split adjusted.

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